MARYLAND SMALL BUSINESS

# Startup checklist & licensing guide

A practical roadmap from business planning to opening day, with Maryland registrations, local licensing, employer insurance and FAMLI readiness.

Prepared November 3, 2026 | Statewide edition

## Start with the right sequence

Confirm location and industry rules → register the business → obtain federal and state accounts → secure licenses and insurance → prepare payroll → pass the opening-day review.

## How to use this guide

Mark each item complete or not applicable. Assign an owner and retain evidence in one compliance folder. The timeline is a planning framework, not an agency processing-time guarantee. Regulated industries, construction and changes of use may require substantially longer lead times.

Business name: _____
Industry / activities: _____
Operating address: _____
County or Baltimore City: _____
Target opening date: _____
Compliance lead: _____

## Time-sensitive: Maryland FAMLI

Current state guidance sets contributions to begin January 1, 2027 and benefits to begin January 1, 2028. Employers with at least one Maryland employee must register. Employers seeking a qualifying private-plan seeding-period contribution exemption should review the November 15, 2026 Declaration of Intent deadline immediately. [S7-S9]

Scope: General educational planning guidance, not legal, tax or insurance advice. Exact obligations depend on business activities, entity, location and staffing. Confirm current fees, forms and deadlines with the issuing agency. Source keys correspond to the official-source directory on page 7.

# Master startup checklist

## A. Define the business and location

[ ] Document products, services, sales channels and expected staffing; identify regulated activities before committing capital.

[ ] Confirm zoning, home-occupation restrictions, occupancy/use approval, building and fire requirements, signage and any municipal rules with the local permitting office. Record written guidance and approval dependencies. [S3]

[ ] Choose the legal structure; check name availability; determine whether a separate trade name is needed. Identify the principal office and resident agent requirements for the chosen entity. [S1]

## B. Establish registrations and accounts

[ ] Register or qualify the entity with SDAT through Maryland Business Express, as applicable. Sole proprietorships are not LLCs; ask SDAT/your Clerk which account or trade-name registration is needed. Retain approval and SDAT identification. [S1, S4]

[ ] Obtain the federal EIN if required; keep the IRS confirmation. Use identical legal name and address details across agency accounts. [S1, S2]

[ ] Use the Combined Registration Application / Maryland Tax Connect for applicable sales and use, employer withholding and other tax accounts. [S2]

[ ] If hiring, arrange Maryland unemployment-insurance registration with the Department of Labor and determine reporting and payment requirements. This is distinct from withholding, workers' compensation and FAMLI. [S2]

## C. License, insure and clear opening

[ ] Resolve applicable Clerk-issued business licenses, state occupational licenses and local permits; do not treat SDAT registration as permission to operate. [S3-S5]

[ ] Bind required workers' compensation before covered employees begin work; evaluate other business insurance and contract requirements. [S6]

[ ] Register with FAMLI when applicable; configure payroll for the program dates and employer-size rules. [S7-S9]

[ ] Keep issued permits, insurance evidence, inspections and payroll/account confirmations in the launch file. Open only after all required approvals are effective.

Evidence fields for every task: Owner _____ Due date _____ Status _____ File/link _____

## Licensing: who issues what?

There is no single filing that substitutes for every Maryland authorization. Check these separate layers for the business activity and the actual operating address. [S3]

| Layer | What to verify / retain |
|---|---|
| SDAT / Maryland Business Express | Entity formation or foreign qualification, applicable trade name and identification. Retain approved filings. This is not an occupational or premises permit. [S1] |
| Clerk of the Circuit Court | Ask the Clerk for the county or Baltimore City where the business operates which state business-license categories apply. Trader's, construction and other categories may apply depending on activity. Retain issued licenses. [S3-S5] |
| State industry regulator | Use Maryland OneStop and the relevant licensing board. Examples include home improvement and licensed trades. A Clerk license does not replace the relevant professional authorization. [S3, S11] |
| County / city / municipality | Confirm zoning, occupancy, construction, fire, signs and health-related requirements as relevant. Food, alcohol and other regulated operations need activity-specific review. Obtain written approvals before opening. [S3] |

## Trader's license: retail inventory checkpoint

Maryland generally requires a trader's license and a sales-tax account before selling goods, subject to statutory exceptions such as growers or manufacturers. Ask the Comptroller/Clerk about the precise exception before relying on it. A service-only business should not assume it needs a trader's license merely because it is a business. [S5]

The license year runs May 1 through April 30. Fees depend on the wholesale value of retail inventory. The published county fee table expressly excludes Baltimore City; request the City-specific fee rather than applying the county schedule. Clerks list a separate $2 issuing fee for each license type. [S4, S5]

## Baltimore address caution

Baltimore City and Baltimore County are separate jurisdictions. Identify the actual jurisdiction of the premises, then use its Clerk and permitting offices. For any municipality, ask whether additional municipal approvals apply. Do not use a mailing-city label as the sole location test.

## Special case: home improvement

Home improvement work requires a separate MHIC review; an MHIC-licensed contractor is not required to hold the Title 17 business construction license for that work. New-home construction is outside MHIC coverage and requires Home Builder Registration review. The current MHIC landing page states a minimum $500,000 general-liability requirement, effective June 1, 2024; do not rely on older $50,000 application text. [S11, S12]

# Clerk application packet & permit tracker

## Prepare this packet before contacting the Clerk

[ ] Legal owner/entity name, any registered trade name, operating and mailing addresses, telephone number and authorized signer. [S4]

[ ] SDAT account number and federal EIN (or appropriate sole-proprietor identification requested by the Clerk). [S4]

[ ] Sales and use tax account number for a trader's license; obtain this before applying. [S4, S5]

[ ] Wholesale value of retail inventory for a trader's license; vending-machine counts and locations if relevant. [S4]

[ ] Workers' compensation policy/binder number or requested compliance documentation, plus employee information where applicable. [S4]

[ ] Signed application, supporting certifications and payment. Ask whether online application, original signatures, local clearances or a specific filing method are required. Local workflows differ. [S4]

Before issuance, check SDAT filings and local personal-property taxes: the Comptroller states a trader's license cannot be issued when applicable local personal-property taxes are owed or SDAT filings are not current. [S5]

## Questions to resolve with each office

Which license category applies to each activity? Is a separate license needed at each location? What inventory valuation date applies? What inspections precede issuance? What is the current total fee? When does the license expire? What must be displayed? Record the name/date of the agency contact.

| Authorization / issuer | Owner / target date | Evidence / renewal |
|---|---|---|
| Clerk business license _____ | _____ | _____ |
| Zoning / use / occupancy _____ | _____ | _____ |
| Health / fire / building _____ | _____ | _____ |
| State industry license _____ | _____ | _____ |
| Municipal / other _____ | _____ | _____ |

Budget separately: entity filings, trade name, Clerk licenses, professional licenses/exams, inspections/build-out, insurance premiums and recurring payroll costs. Obtain current quotes rather than assuming a flat statewide startup price.

# Hiring, workers’ compensation & insurance

## Workers’ compensation: a pre-work requirement

Maryland Business Express states that workers’ compensation is required for most businesses with employees. Arrange coverage before covered employees start work; do not assume that having only one employee, a part-time employee or a relative creates an exemption. Have a licensed broker or the Workers’ Compensation Commission confirm your situation. [S6]

[ ] Give the insurer accurate duties, expected payroll, locations and legal entity details; disclose subcontractor arrangements and owner roles. Retain the policy and certificate of insurance.

[ ] Resolve owner coverage separately. The Commission states sole proprietors and partners are excluded but may elect coverage; eligible officers/members may elect exclusions under the applicable statute. Do not assume all LLC members or all owners are automatically exempt. [S10]

[ ] Keep the policy/binder details available for the Clerk application and verify any required compliance certification. [S4]

[ ] Post the current Maryland workers’ compensation employer notice at each worksite as required, with completed employer information. The Commission’s C-24 instructions specify 8.5 x 14-inch gold or yellow paper. [S10]

[ ] Set an injury-reporting workflow, carrier contact and renewal/audit reminder. Ask the insurer how payroll changes or new locations affect coverage.

## Keep four employer obligations distinct

| Program | Purpose / setup |
|---|---|
| Withholding | Register applicable state withholding accounts and configure payroll deductions and remittances. [S2] |
| Unemployment insurance | Department of Labor account, wage reporting and unemployment taxes; confirm employer coverage and schedule. [S2] |
| Workers’ compensation | Insurance for covered work-related injuries; obtain coverage and maintain required notice. [S6, S10] |
| FAMLI | Paid family/medical leave insurance: separate registration, wage/hour reports and contributions. Small-employer treatment does not eliminate registration. [S7-S9] |

## Other coverage and people-process review

Discuss general liability, property, business interruption, professional/cyber coverage where relevant, business vehicles and home-business exposures with an insurance adviser. Lease or client contracts may add insurance requirements. Standard homeowners coverage may not cover business losses. [S6]

Before the first hire, assign responsibility for employment eligibility paperwork, wage and overtime rules, sick/safe leave, new-hire reporting, required workplace notices and personnel records. Verify the current federal, Maryland and local requirements for the job and location; this checklist is not a complete employment-law audit.

## FAMLI readiness: 2026–2028

Family and Medical Leave Insurance (FAMLI) is a separate Maryland employer program. All employers with at least one Maryland employee must register, including small employers. Registration automatically enrolls the employer in the State Plan. Apply the program's localization rules for multistate/remote work rather than using residence alone. [S7-S9]

| Milestone | Required preparation / action |
|---|---|
| Now: November 2026 | Have an authorized officer register; confirm EIN, administrator access and payroll-provider responsibilities. [S7] |
| November 15, 2026 | Deadline for the Declaration of Intent for employers seeking a qualifying private-plan exemption from seeding-period contributions. Review official eligibility and conditions; a DOI is not final private-plan approval. [S8] |
| January 1, 2027 | Begin required payroll contributions for applicable Maryland-localized wages. Test rates, wage caps and employer-size configuration before the first affected payroll. [S9] |
| April 30, 2027 | First quarterly wage/hour report and State Plan contribution payment due for January–March wages. [S9] |
| October 1, 2027 | Private-plan application deadline under current rollout guidance for a January 1, 2028 effective date. [S8] |
| January 1, 2028 | Benefits begin. Update employee communications, leave administration and coverage arrangements before this date. [S7] |

## 2027 State Plan rates and employer-size rule

The total rate is 0.9% of covered wages up to the Social Security wage cap. Employers with 15 or more total employees generally fund 0.45% and may withhold up to 0.45% from employees. Employers with fewer than 15 total employees remit only the employee share (0.45%); they may withhold it or pay it for employees. The employer-share discount does not waive reporting or registration. [S9]

Count employees inside and outside Maryland under the same EIN for employer size; independent contractors do not count. Size is calculated quarterly during 2027. Beginning in 2028, the program uses the preceding four-quarter average to determine the following year's size treatment. Confirm how the agency handles a new employer's initial reporting history. [S9]

## Payroll control checklist

[ ] Identify localized employees, covered wages and the current wage cap; test a payroll run.

[ ] Collect deductions in the regular pay cycle, not retroactively after the pay period, except the program's limited insufficient-paycheck rule. [S9]

[ ] Reconcile withheld amounts, employer amounts and wage/hour reports each quarter. Calendar April 30, July 31, October 31 and January 31 due dates. [S9]

[ ] Track annual rate announcements beginning November 2027; review private-plan terms before changing State Plan payroll settings. [S9]

# Launch timeline & recurring compliance

Suggested sequencing for a straightforward startup. Start sooner for regulated services, construction, food, alcohol or an occupancy change. Parallel tasks may proceed only when their prerequisites are met.

| When | Step and completion evidence |
|---|---|
| 8–12+ weeks before | 1. Define activities and jurisdiction; consult local zoning/permitting and industry regulators. Confirm feasibility before an unconditional lease or build-out commitment. Evidence: approval matrix and location review. |
| 6–10 weeks before | 2. Choose structure/name; submit SDAT registration or qualification and applicable trade-name filing. Obtain EIN as required. Evidence: approved filings and identification confirmations. [S1] |
| 4–8 weeks before | 3. Register applicable Comptroller accounts and unemployment insurance. Begin professional licenses, premises permits and Clerk packet. Evidence: account confirmations and submitted applications. [S2-S4] |
| 2–6 weeks before | 4. Finish inspections, licenses and location approvals. Bind insurance; set up payroll and FAMLI where applicable. Evidence: issued permits, policy and payroll test. [S3, S6-S9] |
| 1 week before | 5. Complete the go/no-go review below. Verify effective dates, posted notices, employee readiness, operating procedures and payment/tax settings. |
| Opening day / first 30 days | 6. Operate only approved activities at approved premises. Reconcile receipts and payroll; check pending agency correspondence and close gaps immediately. |

# Opening-day go / no-go review

[ ] Every required permit/license is issued and effective, not merely applied for.

[ ] Site is approved for intended use; required inspections are complete.

[ ] Required insurance is active; covered staff are not working uninsured.

[ ] Tax collection, payroll deductions, FAMLI dates and reporting responsibilities are configured.

[ ] Records are stored; required licenses/notices are displayed; renewal owners are assigned.

# Keep the business in good standing

SDAT: File the applicable Annual Report and/or Personal Property Tax Return. The first filing is generally due April 15 in the year after formation, even without revenue or operations. A business formed in 2026 should plan for April 15, 2027; confirm entity-specific forms, fees and extensions. [S13]

Clerk licenses: Review the May 1–April 30 trader's-license year and renewal requirements. Taxes/payroll: use the schedules assigned to each account, not a blanket quarterly assumption. FAMLI: follow the quarterly calendar above. Insurance and industry permits: calendar their individual renewal dates and review changes of address, ownership, activity or staffing before implementation. [S2, S5, S9]

# Official-source directory & verification log

The guide is based on official Maryland sources reviewed for this edition. Source keys support the corresponding passages; open the agency pages to verify current rules before filing. Local Clerk examples illustrate application fields, not identical requirements in every jurisdiction.

**S1** | Maryland Business Express — registration
https://businessexpress.maryland.gov/start/register-a-business-in-maryland

**S2** | Maryland Business Express — tax and insurance accounts
https://businessexpress.maryland.gov/start/taxes-and-insurance

**S3** | Maryland Business Express — licenses and permits
https://businessexpress.maryland.gov/start/licenses-and-permits

**S4** | Maryland Courts — Charles County Clerk business-license packet / fees
https://www.mdcourts.gov/clerks/charles/business

**S5** | Comptroller — types of business licenses / trader's license
https://www.marylandtaxes.gov/business/types-of-business-licenses.php

**S6** | Maryland Business Express — business insurance
https://businessexpress.maryland.gov/start/obtain-business-insurance

**S7** | Maryland FAMLI — program overview and employer registration
https://paidleave.maryland.gov/about-the-program/

**S8** | Maryland FAMLI — State Plan / private-plan preparation
https://paidleave.maryland.gov/employers/understand-your-plan/

**S9** | Maryland FAMLI — contribution rates, size rules and due dates
https://paidleave.maryland.gov/employers/make-contributions/

**S10** | Workers' Compensation Commission — owner elections / employer notice
https://comphub.wcc.state.md.us/Web/Public/Exclusion

**S10a** | Commission — sole proprietor / partner inclusion
https://comphub.wcc.state.md.us/Web/Public/Inclusion

**S10b** | Commission — C-24 employer notice
https://www.wcc.state.md.us/PDF/Publications/C24_EmpNotice.pdf

**S11** | Maryland Department of Labor — MHIC / current insurance notice
https://www.labor.maryland.gov/license/mhic/

**S12** | Maryland Department of Labor — MHIC licensing FAQs
https://www.labor.maryland.gov/license/mhic/mhicfaqlic.shtml

**S13** | Maryland Business Express — good standing and annual filings
https://businessexpress.maryland.gov/manage/maintain-good-standing-status

# Record your local confirmation

Jurisdiction / office: _____
Contact / date: _____
Activities and address reviewed: _____
Required permits / exceptions confirmed: _____
Fee and renewal dates: _____
Unresolved issue / assigned owner: _____